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Chapter 1

Cash Management Overview



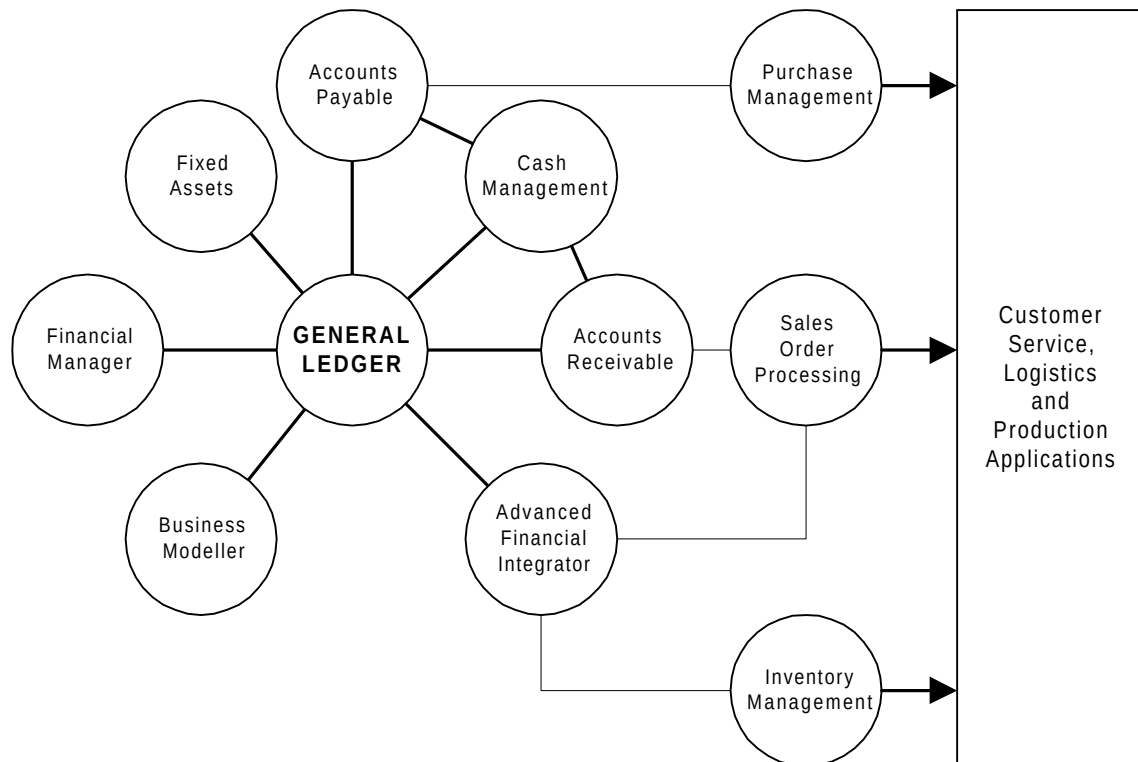
Introduction

The Cash Management module provides you with control over cash flow. When used with Accounts Payable, Accounts Receivable and General Ledger it provides powerful cash management features with comprehensive multi-currency processing. It integrates with the other financial modules to provide a total financial management system. The following are some of the main features available to you when you use the Cash Management module:

- Cash Management is completely integrated with the other Finance, Customer Service and Logistics applications.
- Multiple companies are supported.
- The module fully supports processing in multiple currencies.
- Bank accounts are maintained in any prime or local currency.
- Customer and journal receipts and payments are processed.
- Bank to bank transfers can be made in any currency.
- Cash can be allocated in the currency of the transaction or in a base currency.
- A wide range of flexible enquiries and reports provide you with easy access to account and transaction details, including single and multiple currency accounts and transactions.
- Support for collection documents (bills of exchange).

The Cash Management Module Environment

Broadly addressing all the needs of production, distribution and financial management, the range of modules is illustrated below:



Financial Management is a suite of comprehensive and fully integrated modules which may be considered as a single financial management tool. It addresses specific business functions (such as debtor management) within a common framework.

At its heart lies the General Ledger, collecting, organising and analysing all your company's financial information, with the processing of invoices and other procedures being supported by the Accounts Payable, Accounts Receivable and Cash Management modules.

This module is designed to present information which is relevant, timely and accurate so as to support your operational procedures and your executive decisions within a framework which fully conforms to international legal and audit requirements.

Multi-national Accounting

A company trading only within its own national boundaries may set up a very straightforward set of single-currency ledgers, where all the multi-currency features are hidden.

For the international trading company, on the other hand, the system provides full multi-currency trading and accounting features in all relevant modules. Thus you can process sales and purchase orders in any currency and hold bank accounts in any currency, with each account able to receive cash and make payments in its own or any other defined currency.

Each General Ledger company has a base currency, which is the common currency of all modules linked into it. All financial transactions, in whichever currency they are posted (known as the prime currency), are also expressed in this base currency.

In Cash Management each bank account has an associated currency. You can post values to the bank account in any valid currency and these values are converted at the time of posting into the bank account currency and into the base currency of the linked General Ledger. You can revalue bank balances at any time to give realised gains and losses.

Finally, you can record ledger transactions in the transaction or prime currency as well as in the base currency of the ledger. Translation procedures provide for the expression of base currency values in another currency, this being used primarily for reporting multi-national company results in a common currency.

Three further features enhance the multi-national capability of the system:

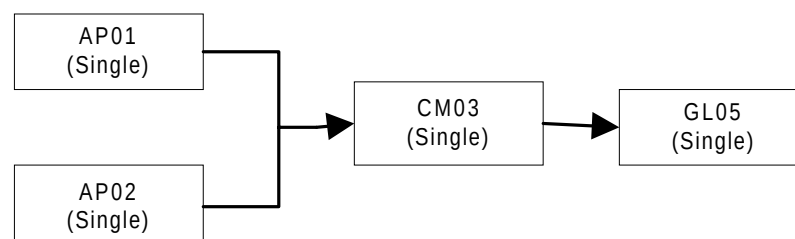
- Language Translation provides facilities for translating report text and on-line Help text into your own language.
- VAT Accounting procedures are designed to meet the accounting and reporting requirements of most taxation authorities – and specifically those of the European Community.
- Module Parameters allow you to set up and use only those features appropriate to your needs.

Multi-company Accounting Environment

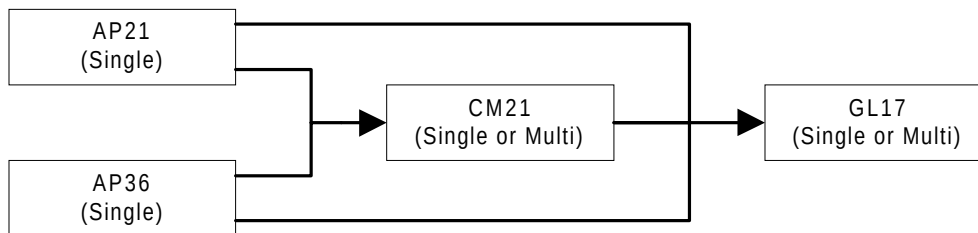
Each accounting environment is controlled by its General Ledger. Within each environment you can have multiple Accounts Payable, Accounts Receivable and Cash Management companies.

You can create two types of environment:

- Simple - This structure meets the complete accounting requirements of a company trading in its own local currency. Single currency Accounts Payable and Receivable companies link to a single currency Cash Management module, which in turn links to a single currency General Ledger.



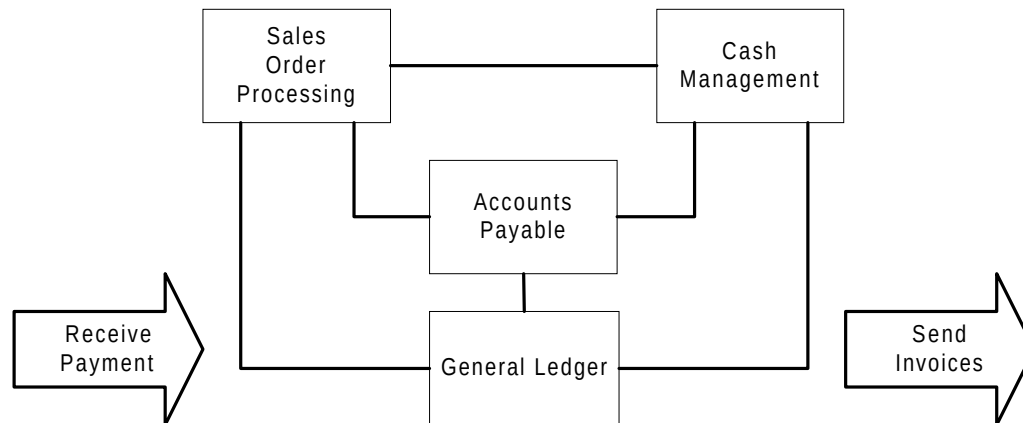
- Comprehensive – This structure is used where the company has multi-currency suppliers and/or customers. The Payable and Receivable companies and their linked Cash Management company must both link to the same General Ledger.



Note: Single currency and multi-currency Accounts Payable and Accounts Receivable companies can be linked to single currency or multi-currency Cash Management companies in any combination. The General Ledger company to which they are all linked can itself be single or multi-currency.

Links to Other Modules

Cash Management is at its most effective when implemented as part of a full suite of modules:



Cash Management is used to process an actual payment either from a customer or to the supplier, once payment has been authorised. Methods of payment include cheques, automatic bank transfers and bills of exchange (now generally referred to as collection documents). Multi-currency payments rely on currency data held by the General Ledger, to which appropriate journals are also posted.

General Ledger is the repository for collecting, organising and analysing all your company's financial information. It also includes multi-currency exchange rates and VAT data used by Cash Management.

Standard Interface

A standard interface is available from your software supplier if you need to link data from any non-JBA application into General Ledger.

Essentially, it requires the external module to create work files containing the transaction, in the correct format. The interface procedure then validates the transactions, posts them to the General Ledger, and produces an audit report.

Please refer to your software supplier for more information about this facility.

Preparing to use Cash Management

Preparing to use the Cash Management module requires careful planning and preparation. Your existing cash management procedures and data need to be transferred to the module.

Entering Basic Data

You must start by entering the following basic data:

Company Profile

This is a record which contains control and parameter information for the operation of your company within the module.

Bank Accounts

Every bank account used within the module must have its type, interest rate, currency code etc. defined to the system.

Period Calendar

The period calendar defines the number of financial periods that your company uses within Cash Management for a financial year. You can create several period calendars for future years as well.

Miscellaneous Creditors

Any suppliers not defined to Accounts Payable must be defined as miscellaneous creditors within Cash Management.

Extended Term

If you wish to pay suppliers using a complex payment pattern then you can define this pattern to Cash Management. It can then be used within the Accounts Payable module.

Payment Methods

Basic payment methods, including cheque, BACS, and so on, are already defined to the system. However, if you wish to define your own (particularly to distinguish between different types of collection document) you may do so.